The Unit Trust of India

Another institution which was set up in 1964 was the Unit Trust of India which came into existence as an offshoot of the RBI on February 1, 1964. In this too, T.T.K. was the moving spirit. The idea of setting up a unit trust in India existed since 1931 but did not materialize for a variety of reasons until T.T.K. revived it in March 1963, when he was Minister for Economic and Defence Coordination. T.T.K. read a news item about a government sponsored unit trust being contemplated in Pakistan. He wrote to Pandit Nehru emphasizing the merits of such an institution and urged him to do something similar in India.[23]

Pandit Nehru passed on the matter to Morarji Desai who was the Finance Minister, who in turn referred the matter to P.C. Bhattacharya, the RBI Governor. Bhattacharya asked B.K. Madan, then Executive Director at the RBI to look into the matter. Madan then asked V.G. Pendharkar, Economic Adviser to the bank and the head of the Economics Department, if he had seen the news item. Pendharkar, who narrates this incident in his account of the setting up of the UTI, told Madan, his immediate superior, that he had not only seen the news item but also had a note on the subject ready. Pendharkar, anticipating that the government would want action on the matter, had asked Anand Chandavarkar then Director, Division of Monetary Economics in his department to work on a similar scheme for India.[24]

A pleasantly surprised Madan conveyed this to the Governor who told the Finance Minister. Pendharkar narrates how he happened to have a note on the subject precisely at the time it was required. In 1960, when he had been Manager of RBI, London, he had read an article titled ‘Investment Trusts’ which had appeared in the bank’s monthly bulletin authored by K.M. Hanifa, a young officer in the Division of Monetary Research in the Economics Department of the bank. The article also outlined how a unit trust might be set up in India. This was the stimulus for Pendharkar to make his own study of the working of unit trusts which were proliferating in the UK at the time. He also invested a little in one of the more reputable unit trusts. Thus, when the news item appeared, much of the work had already been done.

Morarji lost no time in announcing in the Lok Sabha that the government was thinking of setting up a unit trust for extending facilities of investment